

still be a good investment from the perspective of cash flow, from the dividends.

Dividends are tax-free income for the shareholders. They are far more profitable today than they were in the last four years. In fact, a dividend yield of 6.5% is equivalent to 10% interest earned through a fixed deposit or any other debt based investment, over a period of one year, which is taxable income. In fact, in western countries, a large number of people invest solely for dividends.

The clear advantages of income from dividends over traditional and inefficient mechanism like fixed deposits, are given below.

1. Gives you a fixed regular income (as long as the company is profitable and continues to declare dividends)
2. The income earned through dividends is completely tax free since the company has already paid taxes while calculating the PAT and you are receiving the dividend as a shareholder of the company.
3. While you are enjoying the dividend, the capital value of the stocks that you are holding is also likely to give you good results since these stocks usually belong to stable companies.
4. The dividend in high dividend stocks also acts as a safety cushion that prevents the script from a free fall. This is because stock prices go down only if there are more sellers than buyers for that specific stock. For high dividend stocks, investors are wary of losing the regular dividend cash inflow if they sell too much, thus avoiding a free fall.
5. This cycle typically results in high dividend stocks yielding high capital gains as well. In other words, companies that boost their dividend payment are also likely to outperform the stocks that pay contracting dividends.

There are four important dates to remember regarding dividends.

**Declaration date:** It is the day the Board of Directors announce their intention to pay a dividend. On this day, the company creates a liability<sup>41</sup> on its books; it now owes the money to the stockholders. On